



Cambridge International AS & A Level

ECONOMICS

9708/P1A

Paper 1 AS Level Multiple Choice

PAPER 1 (PREDICTED) - ADVANCED**1 hour**

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 10 pages. Any blank pages are indicated.

- 1** A student has one weekend available and three mutually exclusive options: (1) work, earning \$80 per day for 2 days; (2) study, to which she assigns a value of \$100; (3) visit family, to which she assigns a value of \$200. She chooses to visit family.

What is the opportunity cost of her choice?

A \$100 **B** \$160 **C** \$200 **D** \$260

- 2** Which of these best represents human capital?

A a highly trained surgeon's medical skills
B a hospital building
C a surgical robot
D a patent owned by a pharmaceutical firm

- 3** A country chooses to preserve its rainforests rather than clear them for agriculture, even though agricultural output would rise.

How is this best represented in terms of the production possibility curve?

A a movement along the existing PPC
B an outward shift of the PPC
C an inward shift of the PPC
D a rotation of the PPC

- 4** The fundamental economic problem of scarcity exists because:

A governments intervene too much in markets
B production technology is inefficient
C resources are finite but wants are unlimited
D incomes are unequally distributed

- 5** Which feature most clearly characterises a command economy?

A free pricing by markets
B decentralised decision-making
C central planning of resource allocation
D private ownership of all resources

- 6 In a market, the demand curve shifts right while the supply curve shifts left at the same time. What is the effect on equilibrium price and quantity?

	price	quantity
A	rises	indeterminate
B	falls	rises
C	indeterminate	rises
D	indeterminate	falls

- 7 A good has a price elasticity of demand of -0.5. Its price rises.

What is the effect on the total revenue earned by producers?

- A** rises
- B** falls
- C** remains unchanged
- D** depends on the size of the price change

- 8 Which statement about a Giffen good is correct?

- A** It has a downward-sloping demand curve.
- B** It has an upward-sloping demand curve.
- C** It has a positive income elasticity.
- D** It has a positive substitution effect.

- 9 A firm runs a successful advertising campaign that strongly differentiates its product from close substitutes.

What is the most likely effect on the price elasticity of demand for its product?

- A** demand becomes more elastic
- B** demand becomes more inelastic
- C** demand becomes perfectly elastic
- D** demand is unaffected

- 10** Demand for a good is perfectly inelastic; supply is perfectly elastic. An indirect tax of \$1 per unit is imposed.

Who bears the burden of the tax?

- A** fully the consumer
 - B** fully the producer
 - C** shared equally
 - D** mostly the producer
- 11** Which is the best example of a pure public good?
- A** state education
 - B** public healthcare
 - C** national defence
 - D** postal services
- 12** A negative externality in production means that:
- A** marginal social cost exceeds marginal private cost
 - B** marginal private cost exceeds marginal social cost
 - C** marginal social benefit exceeds marginal private benefit
 - D** marginal private benefit exceeds marginal social benefit
- 13** A carbon tax on polluting firms is intended to correct:
- A** under-consumption of merit goods
 - B** under-provision of public goods
 - C** a negative externality of production
 - D** asymmetric information in the market
- 14** An economy is in a deep recession with high cyclical unemployment and spare capacity. Which policy mix would a Keynesian economist most likely recommend?
- A** expansionary fiscal policy and contractionary monetary policy
 - B** contractionary fiscal policy and expansionary monetary policy
 - C** expansionary fiscal policy and expansionary monetary policy
 - D** contractionary fiscal policy and contractionary monetary policy

- 15** In year 1, nominal GDP is \$500bn and the GDP deflator is 100. In year 2, nominal GDP is \$550bn and the GDP deflator is 110.

What is the change in real GDP between year 1 and year 2?

- A** no change
 - B** an increase of 5%
 - C** an increase of 10%
 - D** a decrease of 5%
- 16** Which measure provides the most accurate international comparison of living standards?
- A** nominal GDP
 - B** real GDP
 - C** real GDP per capita at purchasing power parity
 - D** GNI at current market exchange rates
- 17** The concept of hysteresis in unemployment refers to:
- A** short-term frictional unemployment
 - B** seasonal fluctuations in employment
 - C** how temporary unemployment can become persistent
 - D** unemployment arising from technological change only
- 18** An economy is operating beyond its full-employment level of output.
What is most likely to be true of its short-run aggregate supply curve at this point?
- A** it is perfectly elastic
 - B** it is highly inelastic
 - C** it is downward sloping
 - D** it shifts outward automatically
- 19** Which factor is most likely to shift the short-run aggregate supply curve to the right?
- A** a rise in input prices proportional to final prices
 - B** an improvement in labour productivity
 - C** wages rising faster than the price level
 - D** an increase in taxes on firms

- 20** The primary aim of quantitative easing (QE) is to:
- A** raise tax revenue
 - B** lower long-term interest rates and stimulate aggregate demand
 - C** directly reduce the money supply
 - D** support a higher exchange rate
- 21** A government has a primary budget balance of +\$20bn in a year. In the same year, it pays \$30bn in debt interest.
- What is the overall fiscal position?
- A** a surplus of \$20bn
 - B** a surplus of \$10bn
 - C** a deficit of \$10bn
 - D** a deficit of \$30bn
- 22** The 'crowding out' effect of expansionary fiscal policy refers to:
- A** inflation reducing the purchasing power of households
 - B** government borrowing raising interest rates and reducing private investment
 - C** rising unemployment reducing government tax revenue
 - D** imports rising at the expense of domestic producers
- 23** Disinflation most accurately describes:
- A** a negative inflation rate
 - B** a fall in the general price level
 - C** a slowdown in the rate of inflation
 - D** stable and unchanged prices
- 24** A country with a floating exchange rate runs a large and persistent current account deficit.
- What is the most likely effect on its currency, ceteris paribus?
- A** downward pressure on the currency
 - B** upward pressure on the currency
 - C** no effect on the currency
 - D** a requirement for the government to intervene to keep the currency fixed

- 25** The infant industry argument is commonly used to support:
- A** free trade between countries
 - B** temporary protection of new domestic industries
 - C** permanent export subsidies for mature industries
 - D** a floating exchange rate regime
- 26** Two countries with different production possibility curves engage in free trade based on comparative advantage.
- What happens to the consumption possibility frontier of each country after trade?
- A** It is identical to the PPC.
 - B** It lies inside the PPC.
 - C** It lies outside the PPC.
 - D** It is a horizontal line.
- 27** A country's terms of trade deteriorate following a depreciation of its currency.
- Under which condition will its current account nevertheless improve?
- A** demand for exports and imports is highly inelastic
 - B** the Marshall–Lerner condition is satisfied
 - C** imports exceed exports significantly
 - D** the currency is pegged after depreciation
- 28** When the sum of the price elasticities of demand for exports and imports is greater than one, a currency depreciation will improve the current account. This is:
- A** the Laffer curve
 - B** the theory of purchasing power parity
 - C** the Marshall–Lerner condition
 - D** interest rate parity
- 29** A country has a large deficit on its current account of the balance of payments. The errors and omissions balance is zero.
- Which entry in the financial account would balance this deficit?
- A** a net outflow equal in size to the deficit
 - B** a net inflow equal in size to the deficit
 - C** no entry is necessary
 - D** a compulsory rise in official reserves equal to the deficit

- 30** A small open economy with a fixed exchange rate is experiencing both a current account deficit and demand-pull inflation.

Which policy would help address both problems?

- A** expansionary fiscal policy
- B** expansionary monetary policy
- C** contractionary fiscal policy
- D** devaluation of the currency

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